विद्या परं दैवतम्

IIM
भारतीय प्रबंध संस्थान विशाखपट्टणम
Indian Institute of Management Visakhapatnam

AACSB Business Education Alliance Member

Course Outline

Post Graduate Programme in Management

Master of Business Administration (MBA)
Batch – 2025-27
(AY 2025-26)

International Economics

Course Instructor(s)

Prof. Kalyan Kolukuluri
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Indian Institute of Management Visakhapatnam
Gambheeram Village, Anandapuram Mandal, Visakhapatnam – 531 163

I. Course Name: International Economics

II. Course Code: <PGP Office to fill this information>

III. Course Credits: 03 **IV. Course Category:** Elective

V. Course Description:

The elective on International Economics is organized into two broad modules, broadly dealing with the trade in real goods and services and financial flows in an open economy.

Firstly, students are introduced to the history of global trade, next, both classical and modern theories of international trade in goods and services, as well as empirical research on trade. The nature of barriers to trade such as tariffs and non-tariff barriers and their impact on welfare will be discussed.

The second module focuses on understanding the open economy accounts of a macroeconomy. Students understand the mechanics of exchange rate movement, capital flows. Students will be introduced to various mechanisms of trade financing.

The course will emphasize the effects of trade policy on the domestic economy, in terms of employment and inflation. The course concludes by discussing the principles of trade policy that improves the position of a developing country economy

Students who attend this course will understand the link between trade and economic growth. They will appreciate the financial impact of trade policies on their line of businesses. They can help strategize firm operations to compete internationally.

Program Mission

The mission of the PGP program is to equip working professionals to become strategic partners in the growth of organizations by building their technical, interpersonal, leadership and business-oriented proficiencies.

Program Learning Goals (PLGs)

PLG1: Demonstrate technical skills in key functional and allied areas of business management ***(Fundamental business knowledge)***

PLG2: Apply leadership skills that are fundamental for guiding organizations towards success. ***(Leadership)***

PLG3: Identify business problems and provide innovative solutions. ***(Problem-solving)***

PLG4: Formulate effective communication strategies for diverse business context and audience. ***(Communication)***

PLG5: Examine ethical and sustainability issues to determine their impact on business operations. ***(Ethics & Sustainability)***

VI. Prerequisite (if any): NIL

VII. Course Learning Objectives:

Upon completion of this course, students should be able to:

1. Understand basis for trade between countries. Understand reasons for competitiveness in an international environment. (PLG1, I)
2. The effects of trade on welfare and the income distribution in a country.
3. Understand external sector accounts (Balance of Payments - current and capital/financial flows) of a country (PLG1, I)
4. Understand exchange rate movements happen in a macroeconomy. Understand the link between exchange rate policy and domestic economic performance.

VIII. Pedagogy:

The pedagogy is mixed. Students pre-read economic theories for select sessions (highlighted with an *). Discussion follows a brief lecture by the instructor. Some sessions are entirely instructor-driven (lecture). Discussion on the empirics of trade could

be case driven, led by the students.

IX. Text(s) and Other Resources:

Prescribed Textbook:

- Salvatore D., International Economics, An Indian Adaptation, Dominick Salvatore, 13th edition ISBN -978-93-5424-717-0
- Spiral Binder handout contains articles and cases for pre-reading.

Any other materials/ online links: **Will be posted on Moodle**

X. Evaluation Scheme:

Evaluation Component	Type (Individual/ Group)	Weightage	Tentative timing – Session# when it becomes due
1. Group project	Group	30%	Session-19 and 20
2. Quiz	Individual	30%	Session - 9
3. End-term exam	Individual/Group	40%	Session 16

XI. Session-wise Course Content:

Session No.	**Topic(s) covered**	**Pre-Readings/ Assigned textbook chapter/ Cases/ Exercises**
1 & 2	Open Economy National accounts • Balance of Payments • Current & Capital accounts • International Reserves	Chapter 13 (Textbook)
3 & 4	A brief history of (Free and Coercive) Trade • Spice & Silk route • Mercantilism • Colonization and Coercive trade	Handout: - Merchants and the State HBS Case: The First Opium war and Global Free Trade by Jeremy Friedman and Allison Lazarus (9-722-052)
5 6 and 7	Why must Nations Trade? – Part I • Key role of Labour productivity • Adam Smith's Absolute Advantage theory • Ricardo's Comparative Advantage theory • Comparative versus competitive advantage	Chapter 2, (Textbook) - Ricardo's Difficult Idea: https://web.mit.edu/krugman/www/ricardo.htm Chapter 5 (Textbook)

	• Heckscher Ohlin Model (Factor Endowments) •	
8 and 9	Empirical evidence and alternate trade theories • Intra-industry trade • Gravity models of trade • Economies of Scale (Internal & External)	- Chapter 6 (Textbook)
10	Growth effects of free trade • Balanced vs Biased growth of an economy • Understanding Terms of Trade Dutch disease phenomenon	- Chapter 7 (Textbook) - HBS Case: Angola and the Resource Curse, by Aldo Musacchio, Eric Werker, Jonathan Schlefer, HBS Case, N9-711-016
11 & 12	Political Economy of Trade - I • Tariffs on imports & welfare • Import tariff policy to promote infant industry. • Non-technical introduction to "Dumping". • Non-tariff barriers • Import Quotas • Voluntary Export Restraints	
	• **MID-TERM EXAM**	-
13	Capital flows and Crises - I • What is a payments crisis?	- Spiral Binder: India's BOP crisis of 1991
14	Capital flows and Crises - II • Portfolio and Direct investment • Quality of capital Excess global liquidity and its impact on an economy.	- Chapter 12 (Textbook) - Indian Rupee crisis of 2013, by Nidugala Ganesh K, Shukla Rashmi, Mostafa Romel, Ivey Publishing, W15525
15 & 16	Forex market and Exchange rates • How is exchange rate determined? • Uncovered Interest parity (UIP) • Long run exchange rate (PPP)	- Chapter 14 and 15 (Textbook) - Lecture Notes in Spiral Binder
17 & 18	Open economy macroeconomics and the impossible trinity - Floating and fixed rate regime - Output and employment.	- Chapter 16 (Textbook) -
19 & 20	**Project presentations**	
	END-TERM EXAM	

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XII. Industry Expert/Guest Sessions:

XIII. Any other detail:

XIV. Attendance Policy:

Students are expected to adhere to the PGP Attendance Policy as outlined in the PGP Student Handbook.

XV. Academic Honesty Policy:

Indian Institute of Management Visakhapatnam attaches utmost importance to integrity and honesty in academic work by the students. Academic dishonesty in any form, however minor, will lead to severe penalties, including expulsion.

Unless otherwise specified by the faculty concerned, students must not collaborate with each other in any way in so far as their writing effort is concerned in connection to any individual assignment. In other words, the answer should be the independent work of each student. Students are advised, in their own interest, not to communicate their written analysis or answers to other students. They are also advised not to pass on their exam answer papers and written assignments to the next batch or seek such material from their seniors. Copying from previous years' assignments or from any other sources is prohibited.

Plagiarism, as per Collins Dictionary, is defined as the practice of using someone else's work and pretending it to be your own. The institute views plagiarism as an illegal and serious offence and has a zero-tolerance policy towards the same. It is therefore requested not to copy any information, work, ideas, and other work that leads to plagiarism. Any allegation of plagiarism can lead to suspension or expulsion of the student from the Program, depending on the decision of the PGP Committee/ Academic Council of the Institute. To avoid these consequences, it is informed that students make use of adequate tools (as available with PGP Office) to detect amount of web contents, previously submitted papers and subscription-based journals and publications and adhere to proper referencing mechanisms. Students are required to maintain clear referencing of quoted sources in all their reports submissions.

Intentionally using or attempting to use unauthorized information such as books, notes, study aids, or other electronic, online, or digital devices in any academic exercise/evaluation; as well as unauthorized communication of information by any means to or from others during any academic exercise/evaluation, or fabrication and falsification of any information will be considered as violations of Academic Honesty.

Instructors should outline their expectations that may go beyond the scope of this policy at the beginning of each course and identify such expectations and restrictions in the course syllabus. When an instructor receives evidence, either directly or indirectly, of academic dishonesty, he or she should investigate the instance. The faculty member should then take appropriate disciplinary action and bring the matter to the notice of PGP office.

XVI. Audit: Not Allowed

XVII. Any upper limit on subscription: Not Applicable

XVIII. About the Instructor(s):

Prof. Kalyan Kolukuluri is a PhD (Economics), Indian Institute of Management, Bangalore. Prior to his doctoral degree, he did his master's degree in public policy from SDA Bocconi, Italy. He worked for five years in the IT industry before moving into academics. His broad research interests lie in empirical evaluation of public support programs in various domains. His teaching interests span macroeconomics, international economics and econometrics.